



**Docket No. 2015-8**

**Section 1201 Study**

**Initial Comments of the Software and Information Industry  
Association**

**March 3, 2016**

The Software & Information Industry Association (“SIIA”) respectfully submits these comments to the United States Copyright Office in response to the Notice of Inquiry entitled “Section 1201 Study,” 80 Fed. Reg. 81369 (Dec. 29, 2015).

## **Introduction**

SIIA is the principal trade association of the software and information industries and represents over 800 companies that develop and market software and digital content for business, education, consumers, the Internet, and entertainment. SIIA’s members range from start-up firms to some of the largest and most recognizable corporations in the world, and one of SIIA’s primary missions is to protect their intellectual property and advocate a legal and regulatory environment that benefits the software and digital content industries. SIIA member companies are market leaders in many areas, including but by no means limited to:

- software publishing, graphics, and photo editing tools
- corporate database and data processing software
- financial trading and investing services, news, and commodities exchanges
- online legal information and legal research tools
- protection against software viruses and other malware and
- education software and online education services

Our members depend on section 1201 to protect their works from infringement, and SIIA has participated in every rulemaking since the statute’s enactment. In our view, Section 1201 has succeeded in performing its intended purpose: namely, to accomplish the “mutually supportive” goals of a “thriving electronic marketplace [that] provides new and powerful ways for the creators of intellectual property to make their works available to legitimate consumers in the digital environment,” and a “plentiful supply of intellectual property” to drive the demand for a more flexible and efficient

marketplace.”<sup>1</sup> Congress properly recognized that “the digital environment poses a unique threat to copyright owners” and that it “necessitates protection against devices that undermine copyright interests.”<sup>2</sup>

The anti-circumvention provisions of the statute contain three provisions intended to advance these goals. First, section 1201(a)(1) prevents a user from circumventing a technological measure that controls access to a copyrighted work. “The act of circumventing a technological measure put in place by the copyright owner is the equivalent of breaking into a locked room to obtain a copy of a book.”<sup>3</sup> Congress thought, with good reason, that once protected software, film, or music was available in the clear, it could be exploited in a way that seriously harmed the copyright owner’s legitimate market.

Second, 1201(a)(2) prevents the trafficking in devices primarily designed to circumvent technological measures, only prohibiting devices primarily designed for that purpose or that have only a limited commercially significant purpose other than circumventing. The provision is “aimed primarily at black boxes that have virtually no legitimate uses,” and not at “legitimate consumer products such as personal computers, VCRS and the like.”<sup>4</sup>

Finally, as a check on section 1201, Congress also enacted a rulemaking provision enabling the Library of Congress, in consultation with the Department of Commerce (e.g., NTIA), to offer an exemption to the ban on circumvention to petitioners that have shown that they are likely to be adversely affected by the prohibition on circumvention. Congress intended that exemptions issue only on “specific evidence” that a diminution of the availability of a particular work for noninfringing purposes is “*actually occurring*.”<sup>5</sup> To the extent that the office

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<sup>1</sup> H. Rep. 105-551 (1998) (Part II), at 23.

<sup>2</sup> *Id.* at 25.

<sup>3</sup> House Committee on the Judiciary, Section-by-section Analysis of H.R. 2281 as Passed by the House of Representatives (1998) (Comm. Print. No. 6), at 5 [hereinafter “House Manager’s Report”].

<sup>4</sup> House Manager’s Report, at 9. *See also id.* (rejecting standard for secondary liability established by *Sony Corp. of America v. Universal City Studios*, 464 U.S. 417 (1984)).

<sup>5</sup> House Manager’s Report, at 6 (emphasis in original).

is issuing exemptions based on fears of what might happen, those exemptions should issue “only in extraordinary circumstances in which the evidence of likelihood of future impact during that time period is highly specific, strong and persuasive.”<sup>6</sup> Moreover, it must be the *statute* that causes any alleged problems: “marketplace trends, other technological developments, or changes in the roles of libraries, distributors or other intermediaries--or that are not clearly attributable to [the statute’s] prohibition, are outside the scope of the rulemaking.”<sup>7</sup>

Read together, the text, structure, purpose, and history of the DMCA’s circumvention provisions reflect an intention to create a liability regime preventing device manufacturers and others from exposing works to risks of digital piracy. Section 1201 neither expands nor contracts the scope of the copyright owner’s exclusive rights.<sup>8</sup> Instead, it creates a legal backstop to technological protection in order to protect copyrighted works from piracy, and encourage copyright owners to find new ways to get their creativity to the public. In the United States, that backstop has prevented capital formation around “black box” businesses dedicated to circumvention or the sale of circumvention devices, and the U.S. has successfully exported that model in a number of trade agreements.<sup>9</sup> To the extent that the circumvention ban directly causes unjustifiable adverse effects on noninfringing use, section 1201 allows the Librarian to exempt certain classes of works.

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<sup>6</sup> *Id.* at 6.

<sup>7</sup> *Id.*

<sup>8</sup> *See* 17 U.S.C. 1201(c) (1) (stating that the statute does not affect rights, liabilities, remedies or defenses to copyright infringement).

<sup>9</sup> *E.g.*, CAFTA chapter 15, art. 7(a), [https://ustr.gov/sites/default/files/uploads/agreements/cafta/asset\\_upload\\_file934\\_3935.pdf](https://ustr.gov/sites/default/files/uploads/agreements/cafta/asset_upload_file934_3935.pdf); Singapore FTA Art. 16.4 (7)(a) (anti-circumvention statute combined with exceptions), [https://ustr.gov/sites/default/files/uploads/agreements/fta/singapore/asset\\_upload\\_file708\\_4036.pdf](https://ustr.gov/sites/default/files/uploads/agreements/fta/singapore/asset_upload_file708_4036.pdf); Australia FTA, Art. 17.7 (paralleling 1201(a), and listing permissible exceptions analogous to those in U.S. law), [https://ustr.gov/sites/default/files/uploads/agreements/fta/australia/asset\\_upload\\_file469\\_5141.pdf](https://ustr.gov/sites/default/files/uploads/agreements/fta/australia/asset_upload_file469_5141.pdf).

As an organization that has monitored and participated in every triennial event, we appreciate that the rulemaking process has become cumbersome. In part, that has occurred because of the application of the statute in ways that Congress did not foresee in 1998, and in part because of the need to review each proposed exemption *de novo* every three years. In short, while we believe the rulemaking process could be improved, the statute as a whole is being well interpreted by the courts.

**1. *Please provide any insights or observations regarding the role and effectiveness of the prohibition on circumvention of technological measures in section 1201(a).***

**Section 1201 enabled SIIA members to build new ways of transmitting works (Question 1).**

The DMCA helped ensure the investment of billions of dollars by our members in making works available through both interactive and static digital formats. For example, many SIIA members have made their works available as e-books on different types of readers including stand-alone devices dedicated to that purpose as well as applications enabling reading on cell phones, tablets and personal computers. When making works available in those formats, they apply technological protection measures to ensure that their works are not made available in the clear.

In addition, our members have used technological protection measures to create innovative interactive services in a variety of disciplines. For example, our members' web-enabled education products allow teachers to customize lesson plans from a variety of suggested course formats. Their online offerings supplement the material in textbooks with video, audio, and interactive learning tools, and wrong-answer feedback designed to guide students based on the kind of error that they make.

Nonetheless, threats abound. Paywalls, passwords, and multi-level authentication systems face thousands of circumvention attempts each day from both domestic and international sources, and tools can be found to circumvent TPMs applied to e-books and other SIIA-member works. As the Office is well aware, piracy of these works remains a persistent and serious problem. In spite of these threats, section 1201 can be credited with keeping consumers honest by preventing circumvention tools from being conveniently available at Amazon or Newegg. SIIA therefore opposes any

weakening of the anti-trafficking provisions, or an expansion of the rulemaking that would allow persons to traffic in particular devices.

**2. How should section 1201 accommodate interests that are outside of core copyright concerns, for example, in cases where circumvention of access controls protecting computer programs implicates issues of product interoperability or public safety?**

During the last rulemaking, disputes arose over software in tractors, automobiles, and the like—situations that Congress did not envision when passing the law eighteen years ago. But there are doctrines which limit the application of statutes to situations that Congress did not anticipate. Indeed, we note that attempts to apply the DMCA to secondary markets in printer cartridges, garage door openers, and similar devices have failed.<sup>10</sup>

With these decisions as a backdrop, we are especially concerned by advocates of overbroad “right to repair” amendments based on scant or minimal evidence, and the argument that a software or other vendor provides technical support for a particular product or service entitles others to modify it. SIIA members routinely spend millions in providing technical support to their customers. The mere existence of an extensive support network does not justify unfettered and harmful access to our members’ intellectual property. Although we remain open to new evidence, our experience is that issues of “product interoperability” are adequately addressed by the DMCA’s reverse engineering provision in section 1201(f). To the extent that such issues inject

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<sup>10</sup> *E.g., Storage Tech. Corp. v. Custom Hardware Eng'g & Consulting, Inc.*, 421 F.3d 1307 (Fed. Cir. 2005) (rejecting application of statute to prevent servicing of machines by ISO); *Chamberlain Group, Inc. v. Skylink Technologies, Inc.*, 381 F.3d 1178 (Fed. Cir. 2004) (rejecting application of DMCA to universal remote); *Lexmark International, Inc. v. Static Control Components*, 387 F.3d 522 (6th Cir. 2005). *But see TracFone Wireless, Inc. v. Anadisk LLC*, 685 F. Supp. 2d 1304, 1317 (S.D. Fla. 2010) (finding commercial, large-scale unlocking of subsidized cell phones from the subsidizing carrier to be a violation of the DMCA); The Unlocking Consumer Choice and Wireless Competition Act, Pub. L. No. 113-144 (Aug. 1, 2014), and S. Rep. No. 113-112 at 4 (2014) (stating that cell phone unlocking statute not intended to permit large-scale unlocking and commercial resale of subsidized cell phones).

themselves into the rulemaking, we believe the Office did the right thing in contacting other agencies with relevant expertise.

***3. Should section 1201 be adjusted to provide for presumptive renewal of previously granted exemptions—for example, when there is no meaningful opposition to renewal—or otherwise be modified to streamline the process of continuing an existing exemption? If so, how?***

Once an exemption is issued, we are unclear what “meaningful resistance” would look like, but we agree that any presumption that exists should be rebuttable. It seems a “presumption” already exists in practice, as the vast majority of issued exemptions are renewed, even when resisted. That said, in order for any kind of presumption for renewal to exist, the person seeking that presumption should have to demonstrate specific evidence of use in the triennial after the exemption issued. The presumption should only apply to the exemption exactly as it issued the first time. And, of course, evidence of the presumption’s use to commit or facilitate infringement would be grounds for requiring *de novo* review.

**Questions 6 and 7:**

***6. Please assess the role of the antitrafficking provisions of sections 1201(a)(2) and 1201(b) in deterring copyright infringement, and address whether any amendments may be advisable.***

***7. Should section 1201 be amended to allow the adoption of exemptions to the prohibition on circumvention that can extend to exemptions to the antitrafficking prohibitions, and if so, in what way? For example, should the Register be able to recommend, and the Librarian able to adopt, exemptions that permit third-party assistance when justified by the record?***

Given the success of the provisions in preventing the manufacture of circumvention devices and based on what we know of the marketplace, SIIA would not support either weakening of the anti-trafficking provisions or an expansion of the rulemaking to allow trafficking in circumvention devices.

***8. Please assess whether the existing categories of permanent exemptions are necessary, relevant, and/or sufficient. How do the permanent exemptions affect the current state of reverse engineering, encryption research, and security testing? How do the permanent exemptions affect the activities of libraries, archives, and educational institutions? How might the existing permanent exemptions be amended to better facilitate such activities?***

SIIA is unaware of any information that supports amending the existing exemptions.

Respectfully submitted,

/s/

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